

be suspended. (American Express also offers a line of regular *credit* cards, so make sure you know what you're getting.)

Some people find that charge cards help them stay disciplined and avoid getting too deeply into debt. Problem is, they have high annual fees: Amex's basic card (the "Preferred Rewards Green") charges \$95 for the privilege of membership and frequent flyer points. The fee on Amex's "Preferred Rewards Gold Card" is \$150, and for that you get some extras that may or may not mean anything to you. Now that credit card issuers are offering gold and platinum cards with similar perks and no annual fees, think twice before you pay for a charge card. You could be better off just pretending you have one and paying off your bills in full every month.

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## ↓ STUDENT LOANS

Most students can expect to graduate from college with tens of thousands of dollars in student debt. If you're having trouble paying back your loans or you're simply looking for a way to reduce your interest payments, this section can help.

Most student loan debt consists of **Stafford loans**, which are guaranteed by the federal government. ("Guaranteed" means that the government will ultimately pick up the tab—though not without pain on your part—if you default on your payments.) Other kinds of federally guaranteed student loans include **PLUS loans** (which are made to students' parents) and **Perkins loans** (which are available only to lower-income families). Check your paperwork to see what kinds of loans you have; Stafford loans probably make up the majority of them.

There are two ways to get Stafford loans: The first is through a private lender, usually a bank, through the Federal Family Education Loan (FFEL) Program. The second is directly from the Department of Education, through the Federal Direct Loan Program ([www.ed.gov/DirectLoan](http://www.ed.gov/DirectLoan); 800-848-0979). You don't have a choice about whether your loan is a Direct Loan or a FFEL—it all depends upon the program in which your school participates. But either way, the rules for Stafford loans in terms of repayment and interest rates are set by the government.